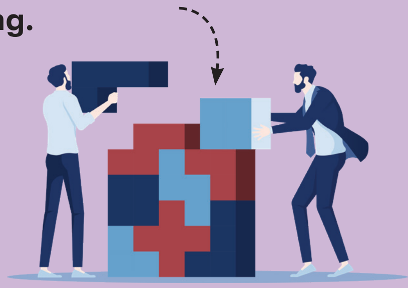
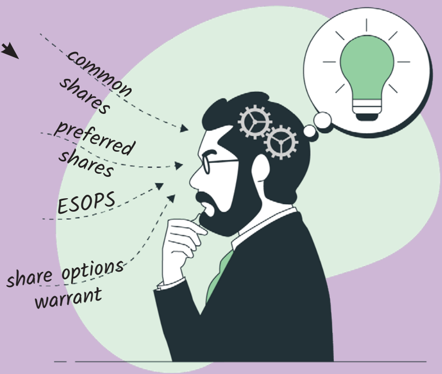
Understand the equity structure of the company and the instruments used and outstanding.

We need to understand the instruments used by the company, whether it is common shares, preferred shares, share options warrant, ESOPS, etc. Thus any instrument used by the company that leads to equity ownership in the company needs to be identified and understood.



equity structure



It is important to look at the people owning the company shares. This can be found in the company's shareholding pattern information.

Evaluate the frequency with which the company buybacks or dilutes equity.

This is the frequency with which the company issues new shares or buybacks of new shares. There are companies that buyback shares every year, especially in the IT industry. On the other hand, there are companies that dilute equity every year as they need external capital constantly. Startups dilute equity a lot in their initial years as a lot of external capital is required. We need to evaluate the frequency of it.

Issues New Shares

Buybacks